

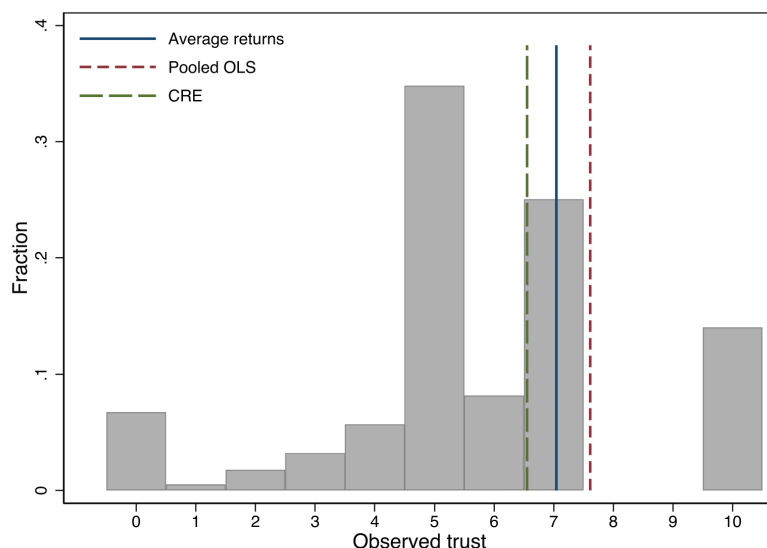


Figure 2.20: Observed responses to the generalized-trust question in the 2020 HRS survey, with estimated return-maximizing trust levels from the extended average-return, pooled, and CRE specifications.

The visual pattern is reassuring. The fitted maxima all fall in the same moderate range already emphasized by Table 2.14, and they do so in a part of the trust distribution with substantial empirical support. I omit the FE model from this comparison because trust and trust² are absorbed by the within transformation and therefore are not estimated directly in the FE return equation. I also omit RE because the specification tests reported earlier reject it in favor of CRE.

2.4.5 Predicted vs Actual returns by race

An important finding in the HRS data is that i) the NH **Black** racial category predicts trust well, ii) regressions of returns to net wealth on race without trust show nontrivial racial differences, and iii) once trust (and trust²) enter the return regressions, those